

user interface and their widely successful ‘instant timeline’. By investing back into their brand with their IPO money, Twitter was able to establish itself as the technology giant that it is today. And they didn’t have a loan to pay back. No wonder companies are so eager to go public!

So back to my lemonade stand. We’re no Twitter but we want to grow, and preferably without taking a loan from a bank. Having debt is a bad idea for my business, so instead I announce to the world I am going public, get into the press to create some hype around the IPO and prepare as the launch date approaches.

The day we go public, I break my company into 1000 pieces. I keep 600 pieces myself so that I keep majority ownership and sell each remaining piece, or share, for \$10. I have 400 of these to sell, \$4000 worth.

At the IPO there are investors like yourself who look at my \$10 a share offer. They think my company has potential to grow in the future and can see the value of these shares increasing in the future, so they buy a share.

The money from these initial investors gives me \$4000 to open up many lemonade stands. It’s important to note that from here onwards, any buying or selling of my lemonade-stand shares doesn’t come to my company anymore; I’ve made my money. If person A now buys one of these shares off person B, the one who profits is person B. Any company you invest in doesn’t directly receive that money; rather, it goes to the person you’re buying the share from.

Let’s say one of the original investors in the lemonade stand is called Sally. Sally has one share of my lemonade stand. It’s not something she physically owns but rather can be thought of like an online certificate. She bought the share from my IPO for \$10 because she believes the value of the share will be up to \$20 in five years.

Another investor called Rita comes into the picture. She thinks that the value of the lemonade stand is \$20 a share already and offers to buy the share off Sally for \$20. Sally is stoked, so she sells her share to Rita and profits \$10.

Why would Rita do this? Well, she believes that the share is likely to be worth \$30 in five years, so she doesn’t mind paying a bit more.